

Partial rises and declines. [Figure 13.3](#) shows an example of a partial decline. Price touches the top trendline, then heads toward the lower trendline, curls around, and stages an immediate upward breakout.

In bull markets, a partial decline correctly predicts an upward breakout 79% of the time. Partial rises do not work as well: Only 36% correctly predict a downward breakout. I wouldn't rely on partial rises.

Busted trade. Downward breakouts that bust outperform their non-busted counterparts, so consider looking for a busted downward breakout. That means waiting for price to bust the downward breakout and going long after the stock closes above the top of the wedge (not the top of the upper trendline).

Avoid patterns with nearby overhead resistance. Because this chart pattern has poor performance, trade only when the stock, industry, and market are trending upward. That way, you are more likely to find a single busted pattern. And those blow the doors off performance. Not sure what that means, but it sounds way cool.

Experience

Let me tell you about what I found in my trade review.

D.R. Horton Inc.

Some trades get away from you like the one in D.R. Horton Inc. (DHI). In December 2006, the stock made a descending broadening wedge. It was small, but tight, with lots of trendline touches and with the stock bouncing from top to bottom, just like you'd expect to see in a well-formed wedge.

I made the perfect entry, buying into the stock two days after the breakout. I could have bought a day sooner and received a better fill, but I snagged the opening price of 27.32 and was happy about that.

From my trading notebook: "18 January 2007. This co's stock is doing twice as well as KBH [KB Home] and I'm flush with cash. It broke out upward from a descending broadening wedge, so call that the buy signal."

For a time, the stock cooperated. It did a measured move up type stair-step rise and peaked at 31.13, a gain of 14% above my buy price.